



Spotify®

Spotify Case Study

Finding alternate revenue streams

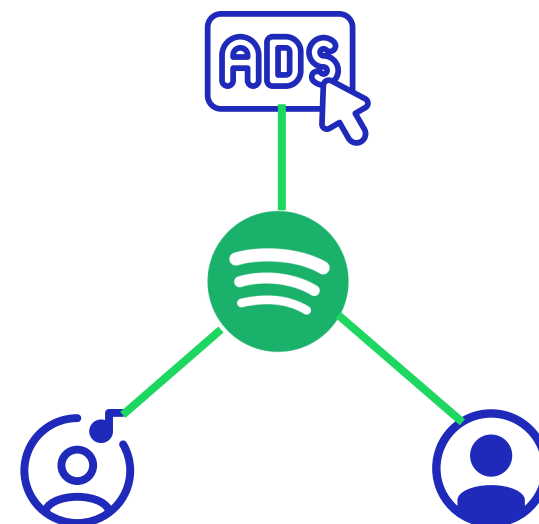
Shubham Bhosale | bhosalepatil@hotmail.com

About Spotify

Spotify is a digital platform that provides online audio streaming services with content from record labels, media companies, and creators across the globe. It makes recommendations with music, and podcast content available to its users for free and add-ons through its premium subscriptions.

Three-Sided Audio Marketplace

Spotify can be categorized as a three-sided platform, with record labels and artists as the suppliers, users who opt for different tiers of subscription, and advertisers.



Value Proposition

Value Proposition To User (Listener)

- **High-Quality Music** Spotify tops out at 320kbps audio quality
- **Personalized Music Recommendations** - Curated playlists for everyone
- **Multi-Device Compatibility**
- **Complete audio package with podcasts**
- **Freemium Experince**

Value Proposition To Artist

- **Reach A Vast Audience**
- **Create An Identity with** profile pages
- **Get Valuable Insights** through the creator dashboard
- **Promote Merch, Event Tickets**

Spotify Statistics

70
Million
Songs Listed

389
Million
Active Users

2.9
Million
Podcasts Available

~33%
Market Share

187
Available Countries

\$11.438
Billion
2021 Revenue

App Features

Music Streaming App

Over 70 million songs listed
5000+ genres

Music recommendation system

With suggested playlists like Daily Mix, Discover Weekly offers an enhanced user experience for the music lover

Playlist

Easy to create a music playlist based on liked songs, podcasts & shows with features like personalised features like **Playlist Cover Image**

Friend Activity

Shows you what your friends are playing, and shows your friends what you're playing

Private sessions

Listen without your listening activity being displayed to followers. The music listened to in a private session also will not influence your music recommendations like your Discover Weekly

Spotify Connect

Use one device to remotely control listening on another

Event Tickets

Fans can buy tickets for upcoming live concerts through the partner app link

Spotify Radio

Collection of songs based on any artist, album, playlist, or song

Podcast 4 million podcasts listed

Audiobooks (web app only) with over 300,000 titles

Sleep Timer

Set Spotify to stop playing after a specific period of time

Sharing

Share songs, albums, artists, playlists, podcasts, and your profile from the app with compatible sharing formats like Instagram Story

Canvas

An 8-second visual loop that shows in a vertical format to fill the screen appears in the Now Playing View

Crossfade

Overlaps 2 tracks by fading out of the first while fading in the next

Equalizer

Use the equalizer to adjust the levels of bass and treble in music and podcasts

Revenue Streams

From Users

Free model offered as an ad-based version

Premium model offered as ad-free service
Plans

- **Mini** ₹7 for 1 day and ₹25 for 1 week
- **Individual** ₹119/month
- **Duo** ₹149/month
- **Family** (6 accounts) ₹179/month

From Artists

- **Commission on royalties for discovery** as Spotify controls songs discovery
- **Sponsored recommendations like Marquee** which is a full-screen sponsored recommendation for new releases.
- **Fans First Presale and Merch Emails** enable a win-win situation for both artist and fan by accessing pre-sale tickets & merchandise from the artist

Car Thing

Hardware device designed for car drives. It starts with '*Hey Spotify*' enabling less hassle to listen to songs on the drive

From Advertisers

- **Audio ads** are served between songs while there are no distractions
- **Video ads** are only delivered during a listening session when the user is actively browsing through the catalogue to discover music and podcasts.
- **Podcast ads** drive meaningful engagement for advertisers from brand-building to direct response objectives
- Spotify is also redefining the **customer experience** for brands through various collaborations with brands like Uber through **Sponsored playlists, Overlay**, etc.

Partnerships

- **Event Ticketing Partnerships** where artists can list their events ticketing links from partner platforms
- **Sourcing music to social media** apps like Instagram, Facebook
- **Merchandise sells** for artists as Spotify is connected with an e-commerce website like Shopify which enables artists to sell their merchandise on the app through a store link
- **Promoted Services**
 - Anchor & Soundtrap for making a podcast
 - Fundraising links from Cash App

However, the majority of the revenue comes from two primary revenue sources: **Advertising and Subscription**, so it becomes more important to find alternative sources as the competition from the **Packaged Services** offerings such as Amazon Prime or YouTube Premium is rising.

Market Analysis - Online Music Streaming

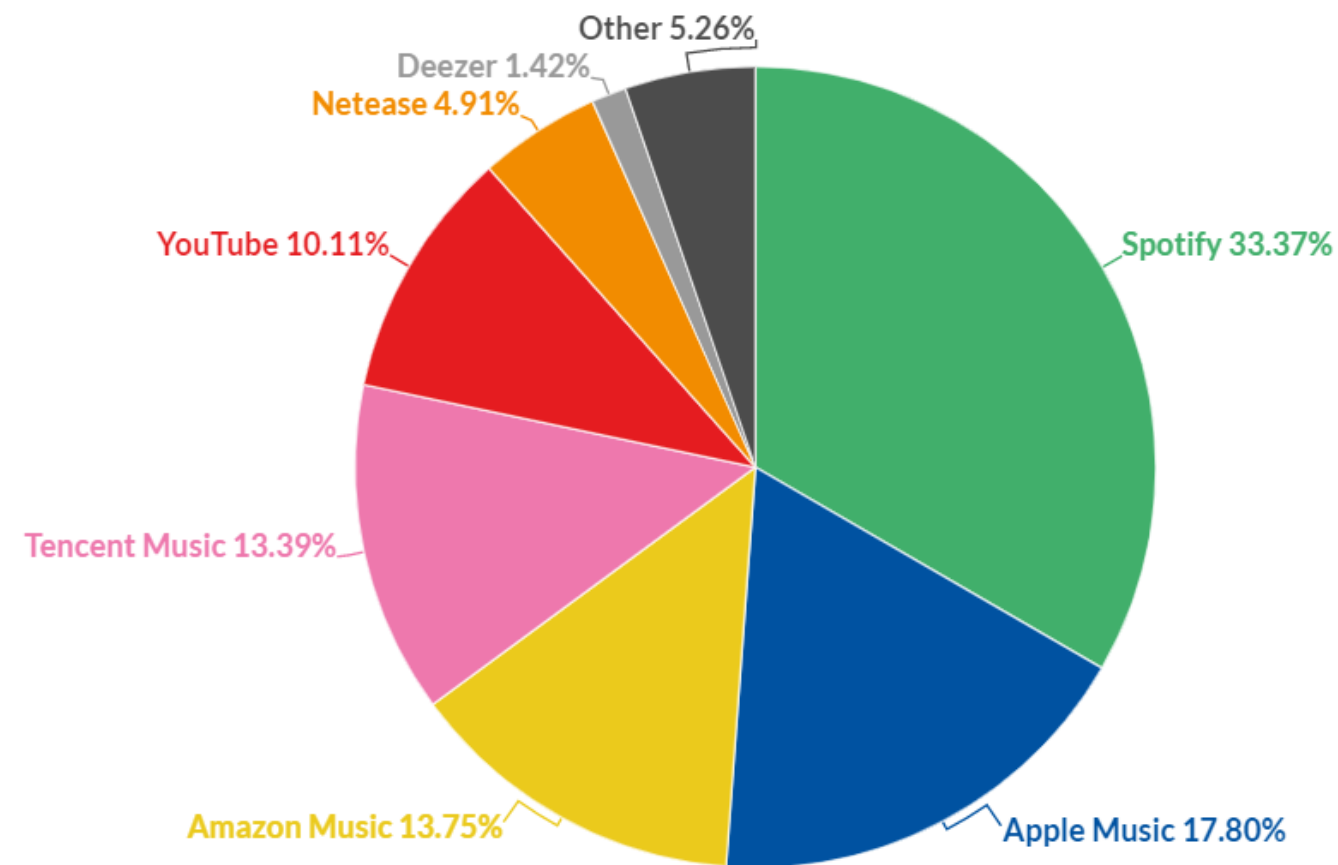
Music Streaming Services can be segmented into

1. On-demand streaming
2. Live to stream

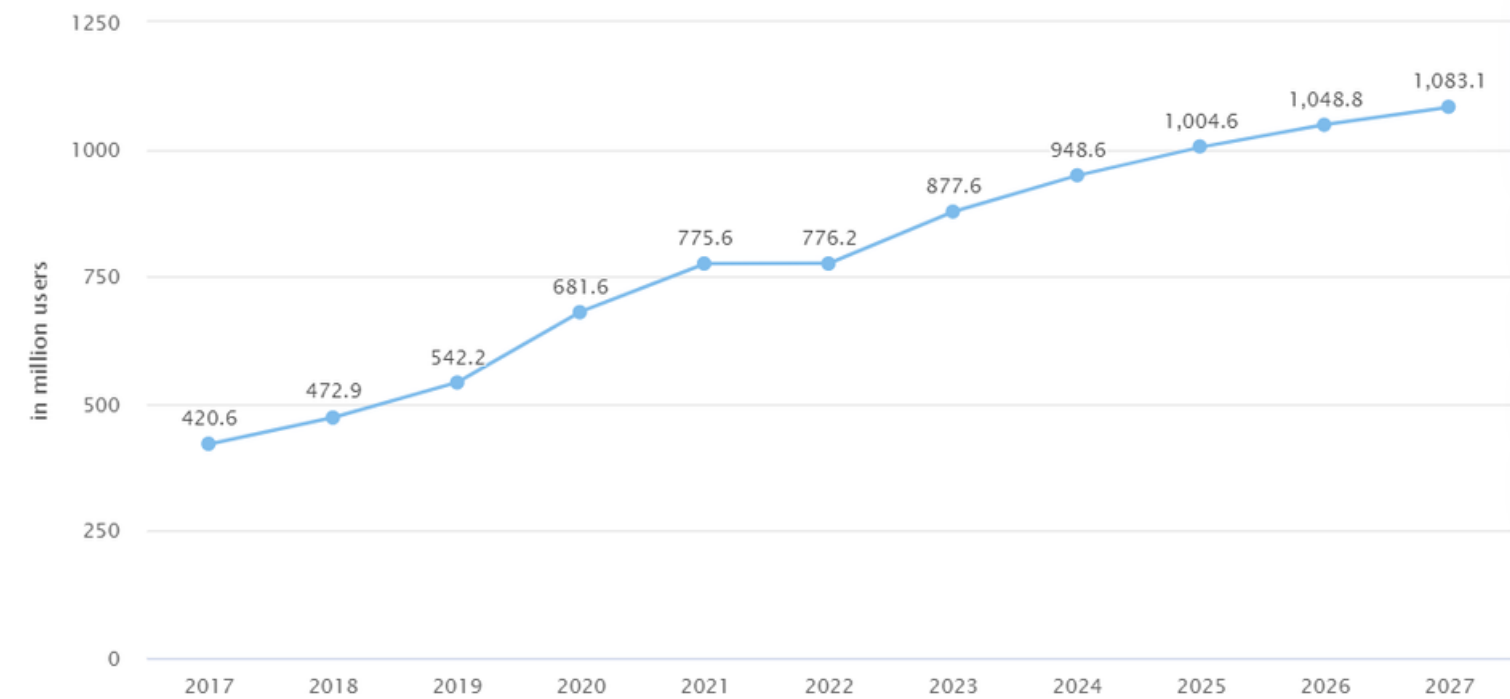
Market size value in 2022 | USD 34.53 billion

Revenue forecast in 2030 | USD 103.07 billion

Growth rate | CAGR of 14.7% from 2022 to 2030



Market Share by Apps



Number of user - Music Streaming

Online Music Streaming Evaluation

- The rising penetration of digital platforms and the growing use of smart devices are anticipated to boost market growth over the forecast period.
- Music Streaming platforms are gaining popularity owing to features such as song recommendations, automatic playlist personalization, and hassle-free connectivity on apps and browsers.
- Distributing music online is much less complicated and requires fewer resources than distributing physical product.

Competitor Analysis



- Available as an umbrella service of tech giant Amazon with a market share of around 13% of the music streaming industry.
- Offered as a premium-only subscription

Value Proposition

- Ads-free streaming service
- Come along with Amazon Prime subscription benefits
- 90 million songs listed
- 15 million podcasts available
- Hi-res and spatial audio from Sony 360 Reality Audio and Dolby Atmos

Revenue Streams

- Amazon Prime subscription ₹ 179 per month
- Publishing of independent music

USP

Packaged Benefits such as wide range of services like Prime video, Prime Delivery, etc. are offered in single subscription



- 17% market share counting to 88 million subscribers
- It is an audio and video streaming service developed by Apple Inc.
- Most users are Apple iOS users

Value Proposition

- Ads-free streaming service
- 90 million songs listed
- Spatial Audio and Lossless Audio
- Apple Music pays double what its rival Spotify pays per stream

Revenue Streams

- Subscription
- Music promotions

USP

Best suited for people from Apple ecosystem

Competitor Analysis

YouTube Music

- Umbrella service offered by YouTube's parent company Google with an 8% market share counting to 50 million users
- Offered as a freemium model

Value Proposition

- Music + Video Availability
- Access to rare user-made content
- Multiplatform accessibility
- Lyrics search
- YouTube's discovery algorithm for songs recommendations

Revenue Streams

- YouTube Premium benefits subscription ₹ 129 per month
- Advertising

USP

Packaged Benefits with YouTube Premium services



- 13% market share
- Majority of users from China
- Tencent Music is a user-generated content company focused on karaoke and live-to-stream, with music subscriptions as an ancillary source of revenue

Value Proposition

- Freemium model
- More value to the artist
- 60 million songs listed
- Covering large

Revenue Streams

- Subscription
- Advertising
- Social entertainment with partner apps

USP

Social entertainment like Karaoke, more focus on UGC

Problem Statement

Spotify is a music streaming and podcast app. You are a product manager and you realise that the current revenue streams is heavily dependent on Premium Subscription and Ads. You are tasked to **find alternate revenue streams** for it where you **suggest new features and find new directions** for the app.

Goal

Suggesting new features to grow revenue

Customers

Existing Spotify users & adopting new customers

Context

Increasing user base & improving overall engagement on app

Constraints

Suggesting new features without creating any negative impact on existing features

Why now?

Decreased ARPU

Users tend to buy family plans more instead of individual plans resulting in decreased ARPU

Increasing market growth

Online Music Streaming Services growing by 14% CAGR (reports)

Increasing Competition from Packaged Services

Rising competition from Amazon, Apple & Google (YouTube), which allows users to pay for a single subscription to get multiple benefits

Creating value for the user

Spotify is heading towards the **audio super app**, with added features which enhance user experience so more value can be delivered to the user

Increasing markets

Consumers in less-wealthy countries can't afford to spend as much on discretionary services like Spotify, so need to create alternate audio service options

User Persona



User Description

Sunil, 21 years is currently Studying in 4th-year computer engineering and lives in Pune.

Needs

- Wants to listen to music Punjabi music in his free time
- loves to attend live concerts

Pains

Not able to attend concerts because tickets are already sold.



User Description

Riya, 26 years is an SDE works at MNC. She is a big fan of Yo Yo Honey Singh and follows him on every social media platform.

Needs

Connect with her favourite singer and show him that she is her biggest fan.

Pains

Many times she tried to connect and messaged her favourite singer but never got a reply.



User Description

Anita, 42 years is a housewife and listens to music, and podcasts in her free time to relax.

Needs

She wants to learn new things as a hobby such as singing.

Pains

She wants to get an easy learning experience without being exposed to longer screen time.

Defining Problems

User's Needs/Pain Points	Priority
Get knowledge in the audio format	High
Connect with favourite artists	High
Unable to attend the live concert event time constraints	Medium
Show support for artists by giving tips or buying merch from them	Low
Can't able to get tickets to the concert	High
Can't find a old song online	Medium
Music lesson from my favourite singer	High
Want to get better song recommendations	High
More listening less screen time	Low
Want more immersive music experince	Medium

Prioritizing problems to solve, on the basis of what value is being created for users along with enriched revenue for Spotify.

The current app interface of Spotify is not helpful to allow **Artist-User interactions**. It seems to be a one-sided platform for audio consumers. It lacks in creating valuable interactions within users & artists.

Unlike most competitors, Spotify is a **standalone audio streaming app**, therefore more opportunities to become **Audio Super App** with multiple services like **Social Entertainment**, Live/Virtual Events, Education and more focus towards **user-generated content**, Tencent Music works on a very similar model to generate revenues.

The revenue per stream received by artists through online streaming services is a very complicated process, so there's enough room to create value for new artists which can ultimately benefit Spotify to generate more revenue streams.

Solutions

Solution	Reach <i>(out of 100)</i>	Impact <i>(1-5)</i>	Confidence %	Efforts <i>(1-5)</i>	RICE Score
Spotify Lessons Courses to get knowledge from audio format with certifications 	60	4	80	3	64
Spotify Store One place destination for fans to buy merch, NFT to support their favourite artists	30	3	50	3	15
Spotify FanClub Exclusive access to fans with added benefits like a superfan badge, access to BTS, AMA sessions, early event tickets 	70	4	80	4	56
Virtual Events Online events where fans can send Virtual Gifs (tips) to their favourite artists	50	3	50	4	18.75
Paid App Screens More personalized and immersive experience	20	5	50	4	12.50

Prioritizing **Spotify Lessons** and **Spotify FanClub** features based on the RICE prioritization framework.

Solutions

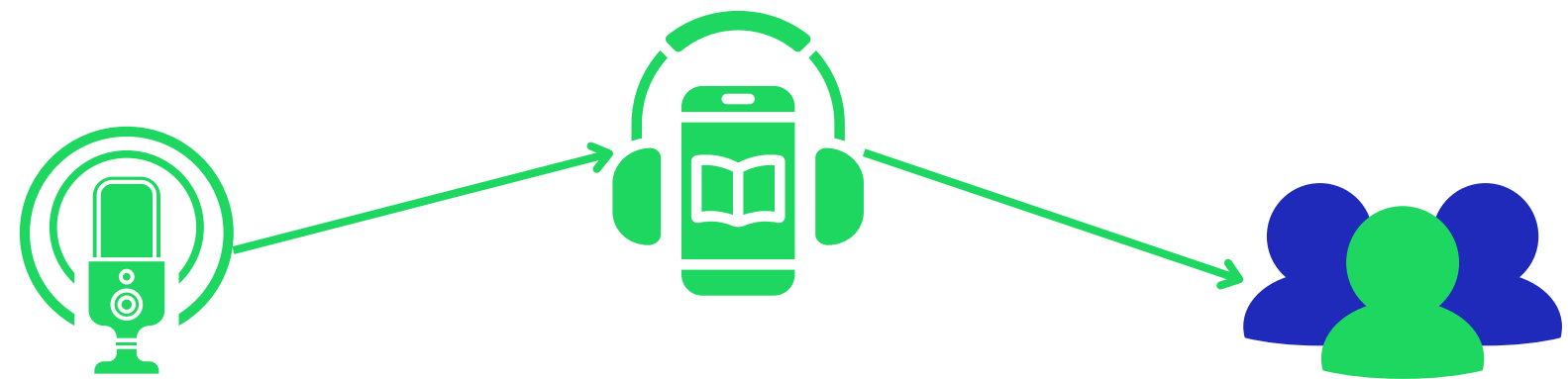
Spotify Lessons



The on-the-go learning experience of Audio Courses with certifications

- Since matured audio media consumption increasing through Podcasts and AudioBooks, creating Spotify Lessons will be a value add for users.
- It will create a direct revenue source for the Lesson creators
- This will resulting into increased number of artists/podcasters on the platform
- Can be available on both the Free and Premium plans with a separate charge per course determined by the lesson creator

Revenue Model



Course Fee

Amount paid by the user to buy the course with a part of revenue as a commission to the Spotify based on reach and discovery

Platform Charges

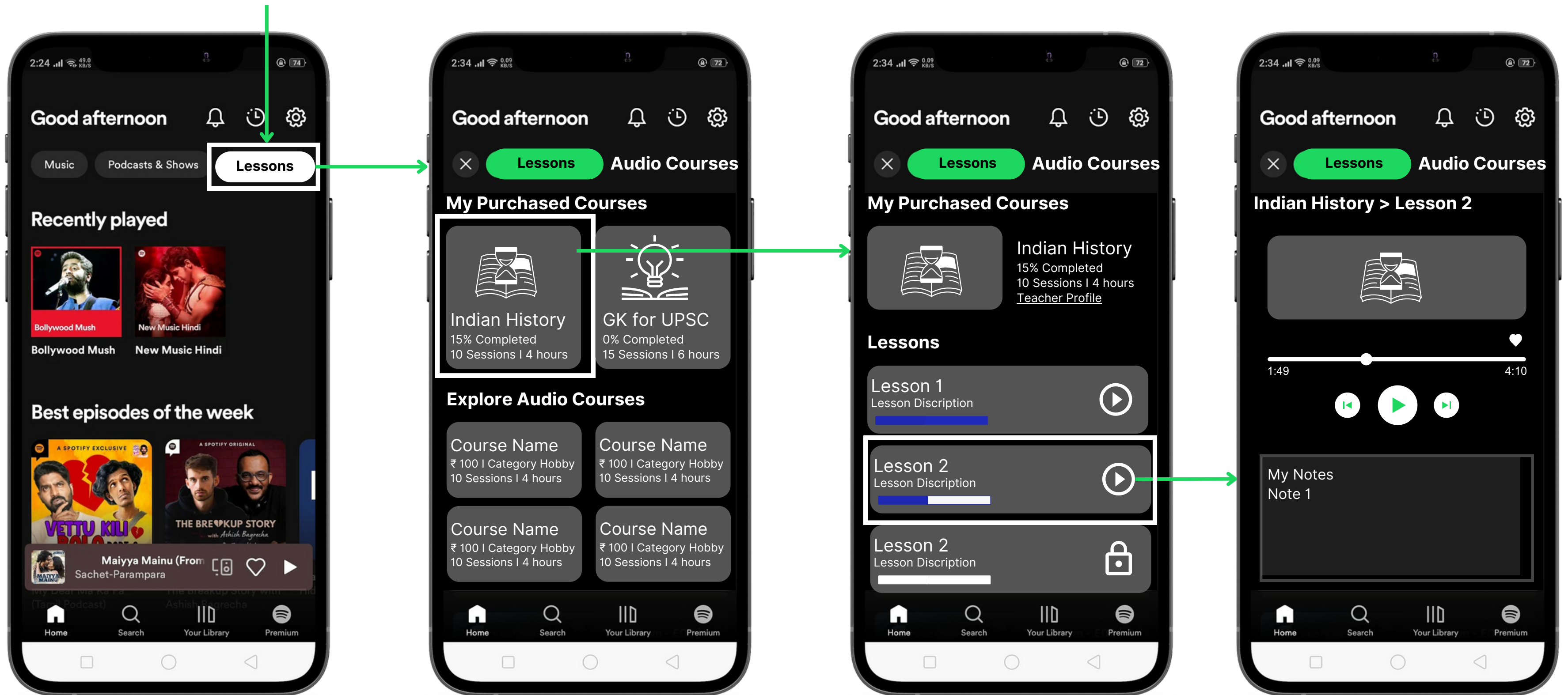
Lesson creators will pay Spotify charges in terms of platform fees to list lessons

Lesson Promotions

Spotify can also earn by getting promotion charges for a lesson.

Spotify Lessons - Wireframes

Option to access Lessons



Solutions

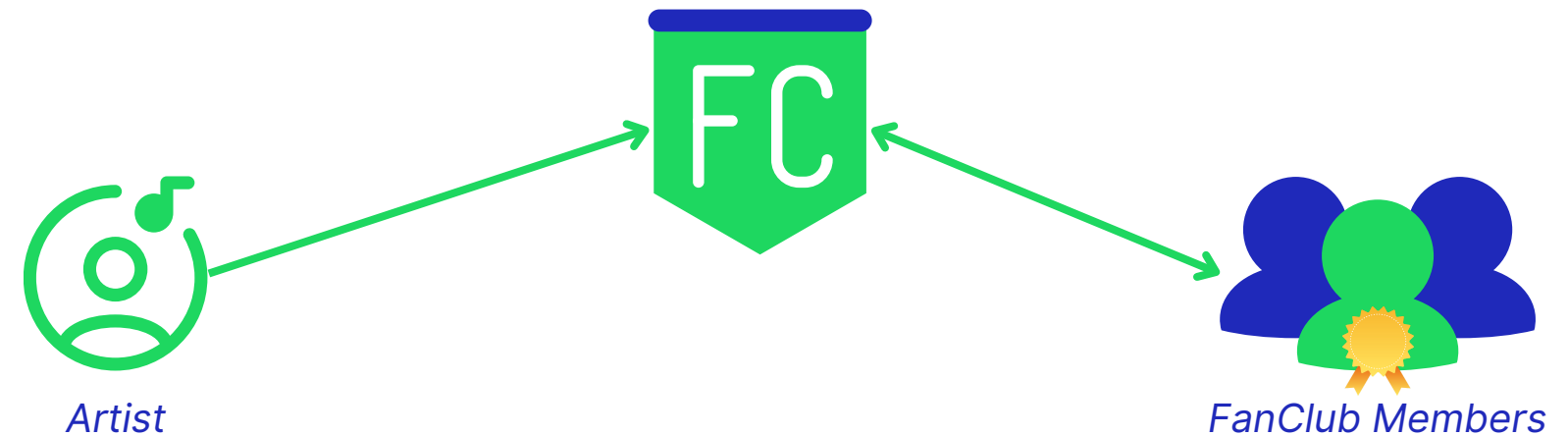
Spotify FanClub



Exclusive access to fans with added benefits like a superfan badge, access to BTS, AMA sessions, early event tickets, pre-release songs

- Similar to somehow channel membership feature on YouTube channel to get exclusive access from the channel
- Current features for artists to get fundraising, sell merch, and event tickets are outsourced which will be centralized on the Spotify app making it convenient for both users and artists
- Can be available on both the Free and Premium plans with a separate charge for the Membership Plan per Artist per month
- FanClub Membership Badge will enhance user experience and provide support to their favourite artist
- This will improve Creator-Consumer relations resulting in better feedback and added revenue stream for the creators

Revenue Model



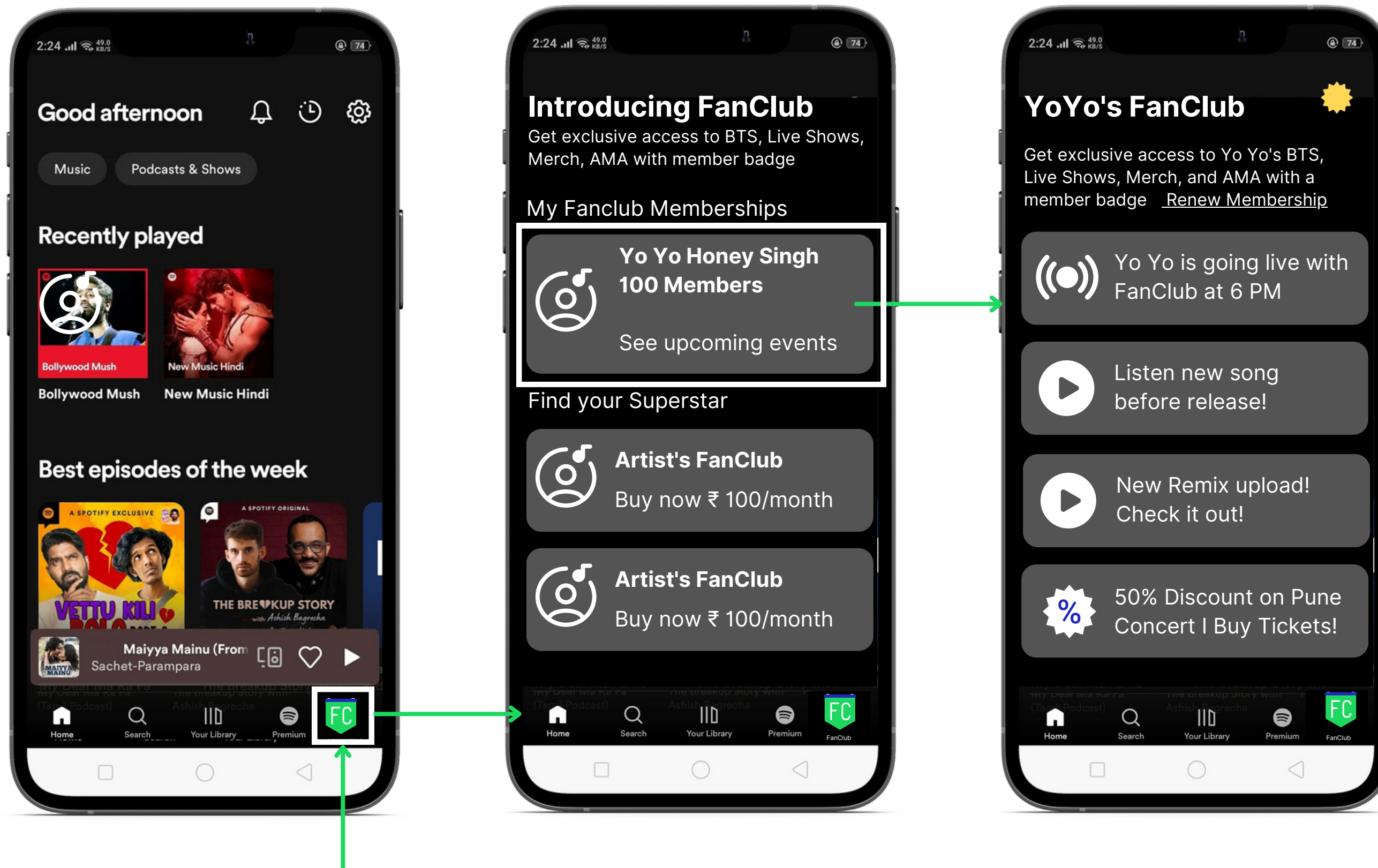
FanClub Membership

Amount paid by the user to buy the Artist FanClub Membership per month

Platform Charges

Spotify will charge a commission from the monthly membership revenue of the Artists

Spotify FanClub - Wireframes



Option to access FanClub

Metrics

Spotify FanClub



Number of membership purchased per user

L1

Number of repeated memberships

Average number of paid fans per Artist

L2

Number of FanClubs created

Spotify Lessons



Number of lessons purchased per user

Number of lessons listed

Average number purchases per lesson

Number of lessons completed by users

Spotify FanClub



- Initially allowing only the top 10% of Artists with the highest followers or songs views on the platform to create their **FanClub**
- Promoting FanClub both Free and Premium option
- Initially rolling out Exclusive Content-Remixes, Pre-Release Songs and Discounted Tickets for Concerts features to FanClub member
- Then rolling out other features like Live Streaming, Priority Messaging, Special Requests
- Later allowing the top 50% of Artists to create their **FanClub**

Spotify Lessons



- Initially rolling out Lessons as a part of the **Podcast** as a free-to-access service because users listening to Podcasts are more likely to use Lessons
- Rolling out Lessons as a standalone service providing 1 free session from Lessons to preview
- Later on, monetizing Lessons as a standalone service to both Free and Premium users based on per-lesson charges

Possible Pitfalls & Suggestions

Possible Pitfalls



Artist's availability for fans interacting features Live Stream, AMA Sessions, and Special Requests can decide whether the fan will renew the service or not.



Spotify Lessons may seem to be as Audiobooks or Podcast available on Spotify already

Suggestions

Prioritizing features for FanClub with inputs from Artists and offering customized FanClub experience

Creating a unique value proposition for Lessons by awarding certifications